AOP 2027 detailed prioritisation approach

Decision paper for CIO, IT Leadership Team, Finance, BU and EW leadership

Decision required: confirm the Total AOP envelope and the visible reservation settings before BU and EW conferences. Use the Protect commitments scenario as the starting position, subject to leadership confirmation.

Executive overview

Where we are. The authoritative demand file contains **279.6 M€** across **509** demand rows. Enterprise-wide demand is **111.7 M€** and BU-led demand is **167.9 M€**. The source does not provide an approved Total AOP envelope.

Why this is needed. The portfolio requires one controlled method to protect legal and regulatory obligations, reserve explicit Sustain Engineering and Hygiene demand, test Carryover evidence, and rank the remaining discretionary pool. Without that sequence, similarly named initiatives can receive inconsistent treatment and conference choices cannot be reconciled to one budget position.

What we are doing. The model uses five mutually exclusive decision stages: LFR, Sustain Engineering, Hygiene, Carryover, and ROI-Based Portfolio. Each demand row receives one primary stage and one allocation outcome. BU and EW conference decisions add to the prioritised view and retain an explicit reason.

How we are approaching it. Reserve the first four stages in order, allocate the remaining AOP capacity to the ROI pool, rank whole initiatives using the merit score, and show funded, unfunded, and evidence-missing views. Finalise freezes the selected scenario. Refresh creates a new version from the authoritative workbook.

Confirmed facts

Measure	Confirmed source position	Management relevance
Total demand	279.6 M€ across 509 rows	Provides the complete demand baseline.
Enterprise-wide	111.7 M€	Reporting view, not a separate funding stage.
BU-led	167.9 M€	Reporting view, with conference decisions recorded on top.
Approved AOP envelope	Not provided in the source	Leadership and Finance must confirm the planning envelope.

Recommendation

Adopt the five-stage model as the single conference baseline. Confirm the visible funding levers and planning envelope before any portfolio inclusion or exclusion decisions are finalised.

Rounding convention: every displayed number is rounded upward to the next 0.1. Calculations retain source precision. Independently rounded displayed subtotals may not add exactly to a displayed total.

Source baseline and decision evidence

Use the Overall AOP decision and Decision band as the approved decision evidence. Do not recompute or foreground the waste-matrix dimensions.

Demand baseline

Primary stage after precedence	Demand	Rows	Definition
LFR	34.6 M€	36	Source P1 and P2 decisions plus EW-11, EW-65 and EW-71.
Sustain Engineering	12.4 M€	16	Only rows explicitly classified Change & Sustain, after LFR removal.
Hygiene	65.6 M€	164	Approved Decommissioning, CI, Upgrade and Enhancement category variants.
Carryover	97.4 M€	81	Remaining source carryover rows. Numeric benefit evidence is required for eligibility.
ROI-Based Portfolio	69.9 M€	212	All remaining demand. Numeric benefit evidence is required for eligibility.

Decision band coverage

Source status	Rows	Demand	Treatment
Healthy	215	124.5 M€	Eligible to compete, subject to stage evidence and affordability.
Contain	14	4.0 M€	Eligible only when the condition is recorded and carried into the rationale.
Blank or unassessed	280	151.2 M€	Remain visible. Do not infer Healthy.

Overall AOP decision coverage

Decision	Rows	Demand
Healthy - rank in priority matrix	183	108.2 M€
Must-do P1 - Immediate	30	15.5 M€
Must-do P2 - Scheduled	3	1.1 M€
Contain - Conditions	12	3.3 M€
Must-do priority TBD	1	0.5 M€
Blank	280	151.2 M€

Management interpretation

Decision evidence is incomplete for 280 rows. The model keeps these rows visible but does not convert missing evidence into a favourable decision. This protects traceability and makes the evidence gap explicit during leadership challenge.

Funding order and visible levers

Apply the five stages in a fixed order. Earlier stages consume capacity before later stages. Each request can receive only one primary stage.

Order	Stage	Included demand	Visible control	Allocation rule
1	LFR	P1, P2 and three approved exceptions	% of bucket demand or % of Total AOP	P1 first, P2 second, then exceptions.
2	Sustain Engineering	Exact Change & Sustain source classification	% of bucket demand or % of Total AOP	Whole initiatives in merit order. No cost-based inclusion.
3	Hygiene	Decommissioning, CI, upgrades and enhancements	% of bucket demand or % of Total AOP	Whole initiatives in merit order.
4	Carryover	Remaining carryover rows with numeric benefits	ROI threshold from 1x to 5x+ in 0.5x steps	Default 2x. Rank by benefit multiple, then merit.
5	ROI-Based Portfolio	All remaining rows with numeric benefits	Receives remaining AOP automatically	Rank by merit. AI remains here unless an earlier rule applies.

Allocation integrity

Rule	Required model behaviour
Whole initiatives	Select whole initiatives in priority order. Do not split or proportionally fund a request.
Tolerance	Default 5% automatic tolerance permits the next whole initiative when it fits the configured target plus tolerance.
Evidence missing	Keep the row visible as Evidence missing / not eligible when quantified benefits or required decision evidence are absent.
Conference choices	BU and EW inclusion or exclusion sits on top of the automatic prioritised view and requires a rationale.
Budget variance	Allow conference inclusions to remain above budget. Show the visible variance rather than blocking finalisation.
Version control	Finalise freezes source hash, settings, decisions, budget and variance. Refresh creates a new version.

LFR composition

The LFR baseline is **34.6 M€**. It contains source P1 and P2 decisions of **16.6 M€** plus Group Functions **7.7 M€**, Supply Chain **4.2 M€**, and Finance **6.3 M€**. These three exceptions do not remain in Sustain Engineering.

Merit score framework

Merit determines order within discretionary competition. It remains an advanced configuration, not a primary funding lever.

Dimension	Maximum	Scoring rule	Evidence source
Submitted benefit / requested investment	50	Below 1x or missing: 0; 1x to below 2x: 20; 2x to below 3x: 30; 3x to below 5x: 40; 5x+: 50.	Quantified Benefits and 2027 requested investment.
Submitted priority	25	Must Do: 25; Must Have: 18; Deprioritised: 5; blank or unrecognised: 0.	Submitted priority field.
Captured Consequence	15	0, 5, 10 or 15 based on the strength and reach of the recorded consequence.	Impact and Cost of Not Doing, Problem Statement and Scope only.
Decision band	10	Healthy: 10; Contain: 6; blank or other: 0.	Source Decision band.

Captured Consequence

Score	Definition
0	No usable consequence in the three approved source fields.
5	A general consequence, problem or scope is stated, but the harm of not proceeding is unclear.
10	The evidence identifies an affected activity or stakeholder and an explicit operational, compliance, customer, financial or delivery harm.
15	Score 10 evidence plus a source-stated quantified impact or enterprise, global, multi-region or company-wide reach.

Advanced configuration

The default Minimum Merit Score is 45. It excludes weak ROI-pool demand and does not gate Carryover. The four weights remain configurable in Advanced settings, but they should not appear as primary business levers.

Claims above 5x require review before benefit-led automatic allocation. Submitted benefits remain evidence claims and do not become approved cash flows through the score.

Traceability requirement

Retain the exact supporting text, source sheet, source row, Item No., Planisware ID, raw requested amount, quantified benefit value, decision fields, score components, rank and funding rationale for every demand row.

Simplified scenarios for leadership comparison

The scenarios below use a 100.0 M€ illustrative planning envelope because the authoritative demand file does not contain an approved Total AOP. Leadership must replace this input with the confirmed envelope.

Scenario	Definition	Selected	Variance	Initiatives	Use
1. Protect commitments	LFR 100% of bucket; Sustain Engineering 100% of bucket; Hygiene 10% of AOP; Carryover 2x.	102.6 M€	2.6 M€ over	154	Recommended conference baseline.
2. Evidence controlled	Same reservations; Carryover threshold rises to 3x; advanced merit gate stays 45.	97.2 M€	2.9 M€ headroom	150	Tests stronger Carryover benefit evidence.
3. Capacity managed	LFR 100%; Sustain Engineering 75% of bucket; Hygiene 10% of AOP; Carryover 2x.	99.0 M€	1.1 M€ headroom	152	Tests partial Sustain Engineering coverage.

Scenario 1 stage allocation

Stage	Selected	Funded initiatives	Interpretation
LFR	34.6 M€	36	Full LFR reservation.
Sustain Engineering	12.4 M€	15	Full eligible Sustain Engineering demand.
Hygiene	10.5 M€	32	10% of AOP target, with whole-initiative tolerance.
Carryover	18.9 M€	18	Eligible at 2x benefit/request threshold.
ROI-Based Portfolio	26.4 M€	53	Receives remaining eligible capacity by merit rank.

Management interpretation

Scenario 1 uses the current default configuration and protects the explicit obligation and Sustain Engineering positions. Its automatic whole-initiative selection reaches 102.6 M€, which is 2.6 M€ above the illustrative envelope but within the 5% automatic tolerance. Scenario 2 improves Carryover evidence quality but leaves capacity unallocated because later eligible ROI demand under the advanced merit gate is exhausted. Scenario 3 creates headroom by reducing Sustain Engineering coverage and therefore requires a clear business trade-off.

All scenario values use the same normalized source records and deterministic calculation engine. No conference overrides are included.